

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-10

**REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 017843 – WASHINGTON MOVERS, INC.**

**REPLY OF
THE BUREAU OF ENFORCEMENT
TO
WASHINGTON MOVERS, INC.'S
EXCEPTIONS TO THE INITIAL DECISION**

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Pursuant to Rule 227(a)(2) of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.227(a)(2), the Bureau of Enforcement (BOE) files this Reply to the Exceptions submitted on behalf of Washington Movers, Inc. (Washington Movers or Respondent).¹

I. PROCEDURAL BACKGROUND

This proceeding was commenced by the Commission's Order To Show Cause, served October 8, 2015, directing Washington Movers to show cause why its ocean transportation intermediary (OTI) license should not be revoked based on the felony convictions of Sam Ghanem, the sole owner, officer, director, and Qualifying Individual (QI) of Respondent, and various regulatory violations of the company. BOE was made a party to the proceeding. Following separate responses to the Order To Show Cause by Respondent and BOE, the Commission, on February 12, 2016, issued an Order Regarding Preliminary Issues which, among other things, assigned the matter to the Office of Administrative Law Judges to consider whether further submissions were necessary; determine whether an evidentiary hearing was warranted; make factual findings; and issue an initial decision regarding revocation of Washington Movers' OTI license. Pursuant to various orders of Chief Administrative Law Judge (ALJ) Clay Guthridge, the parties engaged in discovery, participated in an oral hearing on November 9, 2016, submitted proposed findings of fact, appendices, and briefs. On June 29, 2017, the ALJ issued an initial decision (I.D.) revoking Respondent's license and ordering it to cease and desist all OTI activities. On July 21, 2017, Respondent served Exceptions to the initial decision. BOE now submits this reply.

¹ Respondent changed its name to Washington Movers International, Inc. in 2008, but did not notify the Commission of this event. Nonetheless, its license remained in the name Washington Movers, Inc. which has been used throughout this proceeding and will be used herein.

II. INTRODUCTION

To no surprise, Washington Movers disagrees with the result in this case. However, its claims of error are baseless and appear to be nothing more than a tactical maneuver to keep its license in effect in order to continue operating.² Significantly it does not challenge a single finding of fact made or adopted by the ALJ and has thus conceded the underlying factual bases for the initial decision. Essentially Respondent advances three arguments to retain its license all of which were considered and correctly rejected by the ALJ. First, Washington Movers continues to argue that the Commission cannot revoke its license on the basis of the felony convictions of Sam Ghanem, the sole owner, President, and QI of the company because the license is property belonging to the corporate entity, Washington Movers, which was not convicted of a crime. This argument and its underlying premises are contrary to Commission precedent and regulations, as well as judicial case law.

Next, while conceding its past and present disregard of various regulatory responsibilities, Washington Movers attempts to argue that it has acted in good faith. This contention is readily refuted by the extensive factual record demonstrating that Respondent took no steps toward compliance until after the commencement of this proceeding when it learned that its license was in jeopardy. Perhaps more to the point, the record demonstrates that Respondent's course of action was a deliberate choice to keep Sam Ghanem's actual status from the outside world and continue to hold out his apparent authority to act on the company's behalf. Respondent's refusal to

² Respondent's Exceptions do not comply with the Commission's regulations which require a memorandum specifying the exceptions taken and a brief in support of such memorandum in a single document with specific references to the record. 46 C.F.R. § 502.227(a)(1). All briefs must meet certain content requirements. 46 C.F.R. § 502.221(e). In the interests of conserving Commission resources, BOE will address the substance of Respondent's arguments without formal objection to these deficiencies.

acknowledge that its actions and inactions are directly attributed to the current management of the company which has been in place since the ostensible removal of Sam Ghanem as the owner, President, and QI in January, 2014 undermines its credibility and fully supports the conclusion that Respondent is not qualified to continue providing OTI service.

Last, Washington Movers singles out the failure to seek approval of its name change and argues that any offense by Washington Movers does not meet a standard of egregiousness that warrants revocation of its license. This argument is contradicted by the record, Commission precedent, and the plain text of the OTI regulations.

III. ARGUMENT

A. Respondent's License Was Properly Revoked On The Basis Of Sam Ghanem's Convictions

Washington Movers claims that the ALJ erred in revoking its license because the company was never convicted of a crime. That the corporate entity was not convicted of a crime was never in dispute. However, as the ALJ found, Sam Ghanem directly implicated Washington Movers in the commission of his crimes by using its name, license, employees, and facilities as the instrumentalities for the subject criminal activity. (I.D. at 33.) In rejecting the same argument made here, the ALJ held that the fact that Washington Movers was not a defendant in the criminal action against Sam Ghanem is irrelevant to the question of whether the Commission may sanction Washington Movers and revoke its license for violations of the Shipping Act related to the criminal activity. (I.D. at 35.) The ALJ's conclusion is solidly grounded in the facts of this case, the Commission's regulations and precedent as well as judicial case law.

At the outset it bears emphasis that the Commission's regulation enumerating grounds for revocation does not make the identity of a particular actor determinative of whether revocation is warranted. 46 C.F.R. §515.16(a). The language in the regulation reflects the fundamental concept underlying the OTI regulations that the character and qualifications of a licensee, and in particular, a corporate licensee, is measured by the character and qualifications of individuals. As the Commission has recognized, a corporation can only act through individuals. *See* Docket No. 15-04, *Crocus Investments LLC v. Marine Transport Logistics*, 34 S.R.R. 582, 590 (FMC 2017). This principle is well established. *United States v. Illinois Central R. Co.*, 303 U.S. 239, 244 (1938) (a corporation can only act through its employees and is responsible for their failure). Consequently, the Commission's regulations measure the character and qualification of a corporate entity to act as an OTI through the character of its officers or principals. *See* former and present 46 C.F.R. § 515.11(b) (qualifying individual of a corporation must be at least one active officer).³ The link between the character of a corporate OTI and the character of an individual officer of the company is also reflected in the requirement that corporate licensees notify the Commission of any change in the status or identity of its QI and promptly seek approval of a replacement. Former 46 C.F.R. § 515.18(a)(6) and (c), and present 46 C.F.R. § 515.20(a)(5) and (c).

Consistent with these requirements, the Commission's regulations impose responsibility on the licensee for the acts and omissions of its employees and agents performed in connection with the conduct of the licensee's business. 46 C.F.R. § 515.4(b). The Director of the

³ The Commission amended its Part 515 regulations subsequent to institution of this proceeding. *See Ocean Transportation Intermediary Licensing and Financial Responsibility Requirements and General Duties*, 33 S.R.R. 1319 (FMC 2015). Application of the amended regulations would not affect the outcome of this proceeding. Nonetheless, following traditional rules of retroactive application of regulations, BOE agrees with the ALJ's determination that the Part 515 regulations in effect at the time that the proceeding was commenced govern this proceeding. (I.D. at 10, note 6.)

Commission's Bureau of Certification and Licensing also explained in this proceeding the importance of the character of a corporation's officers in considering the qualifications of a corporate entity to provide OTI services. *See* Verified Statement of Sandra L. Kusumoto, BOE Ex. 8, ¶¶ 20-23.

The ALJ correctly recognized that Respondent's focus on the absence of a criminal conviction against the corporate entity is contrary to established precedent. In support, the ALJ cited *Falcon Shipping, Inc. and Abdiel Falcon – Application for License as an Ocean Transportation Intermediary*, 32 S.R.R. 382 (FMC 2012). (I.D. at 34.) In that case the Commission determined that the applicant lacked the requisite character for issuance of an OTI license based on the federal smuggling conviction of the company's principal and proposed QI, his participation in an illegal scheme, and his violation of the Shipping Act.

This standard likewise applies to license revocations. In *AAA Nordstar Line, Inc. – Revocation of License No. 12234*, 29 S.R.R. 663, 664 (FMC 2002), the Commission ordered revocation of the license issued to a corporation on the basis of the felony convictions of its principals for mail fraud and their failure to advise the Commission of changes in material facts relating to the licensee's operations and qualifications of its management. Nor is the Commission unique in holding a corporation accountable for the actions of its principals. *See, e.g., Tempo Trucking & Transfer Corp. v. Dickson*, 405 F. Supp. 506 (E.D. N.Y. 1975) (upholding U.S. Customs Service revocation of customhouse cartman's corporate license based on theft conviction of company president).

It has long been settled that criminal activity of corporate officers may be properly attributed to the corporate entity. A corporation, through the conduct of its agents and employees,

may be convicted of a crime, including a crime involving knowledge and willfulness. *United States v. Carter*, 311 F.2d 934, 941-942 (6th Cir. 1963) (affirming conviction of corporation based on criminal conduct of its president), citing *New York Central & Hudson River Railroad Company v. United States*, 212 U.S. 481, 492-493 (1909) (since a corporation acts by its officers and agents, their purposes, motives, and intent are just as much those of the corporation as are the things done). So long as the criminal act is directly related to the performance of the duties which the officer or agent has the broad authority to perform, the corporate entity is liable for the criminal acts also and must be deemed to have authorized the act. *Continental Baking Company v. United States*, 281 F.2d 137, 149 (6th Cir. 1960). Corporations may also be held liable for civil penalties for violations committed by their employees. *United States v. Illinois Central R. Co.*, 303 U.S. at 244. The Commission's regulations and case law imposing responsibility on a corporate licensee for the acts and omissions of its principals accord with established law.

Sam Ghanem's authority to act on behalf of Respondent as its sole owner, President, and QI at the time of his criminal activity is unquestioned. As the ALJ stated, Sam Ghanem's scope of work was whatever he wanted it to be. (I.D. at 35.) His authority to load the shipping container used in the commission of the crime is not in dispute, nor is his authority to direct employees to load the container, book the shipment in the company name, under its license, and pursuant to the company's service contract with the ocean carrier, use the company facilities to consummate the criminal transaction and make arrangements to move the container from and to the port. These are traditional OTI activities and within the scope of Washington Movers' license. *See* V.S. Kusumoto, BOE Ex. 8, ¶ 22. All of Sam Ghanem's activities leading to his arrest were within his broad authority as owner and President of the company. Though Washington Movers was not named as

a defendant in the criminal action against Sam Ghanem, “his authority and the activity in which he was engaged at the time of the offense involved, brought criminal responsibility to the corporation of which he was president.” *United States v. Carter*, 311 F.2d at 942.

Washington Movers contends that ALJ erred in revoking its license because a license constitutes a property interest which may not be taken away for another person’s conduct. (Exceptions, pp. 3-5.) This argument is meritless. The Commission’s authority to revoke a license of an OTI is clear and unambiguous. 46 U.S.C. § 40903(a). The Shipping Act, like other regulatory statutes authorizing an agency to issue licenses to entities subject to its jurisdiction, does not grant anything in the nature of a property right as a result of the granting of a license. *See, e.g., F.C.C. v. Sanders Bros. Radio Station*, 309 U.S. 470, 475 (1940).

Washington Movers has not presented any authority that would negate the Commission’s ability to revoke an OTI license under the circumstances present here. Its reliance on *Harris News Agency, Inc. v. Bowers*, 809 F.3d 411 (8th Cir. 2015) is misplaced. *Harris News* neither involved nor addressed the taking of property or revocation of a license. Rather, the court addressed the denial of a license on the ground that the license applicants had violated a statute which, the court found, they did not violate – a determination based on the plain language of the involved statute. Contrary to Respondent’s contention, no argument was raised or addressed asserting a property right in the subject license. Indeed, an applicant has no right to a grant of a license.

Likewise unfounded is Respondent’s claim that *United States v. Lester*, 85 F.3d 1409 (9th Cir. 1996) is analogous to this proceeding. There the Court was required to interpret a federal criminal forfeiture statute that the government sought to apply to certain real property in which both a husband and wife held ownership interests. The subject property was unrelated to the

husband's criminal activities for which he was convicted. The court determined that the property did not qualify as substitute property because under the statute only property of the defendant was subject to forfeiture. As the wife was not a defendant, her property interest precluded forfeiture under the statute in question. No similarity exists between that case and revocation of Washington Movers' license. Contrary to Respondent's theory, Norma Ghanem's ownership interest in the corporation does not carry with it a separate property interest in the license and certainly does not affect the Commission's authority to revoke the license.

B. Respondent's Claim Of Good Faith Is Untenable

Respondent urges that its license should not be revoked because it acted in good faith to comply with the Commission's regulations. (Exceptions, p.5.) The record requires a contrary conclusion. The undisputed facts demonstrate that Washington Movers undertook no steps to comply with the Commission's regulations until this proceeding was commenced in October 2015 – well over a year and a half after Sam Ghanem's arrest and indictment and installation of Norma Ghanem as sole owner and President of the company. (BOE Ex. 8, ¶¶ 13, 15, 17, 18.) Rather than making a good faith effort to fulfill its regulatory responsibilities, Respondent elected not to inform the Commission, or for that matter anyone else with which it did business, of the changes in material facts relative to Sam Ghanem, let alone that it changed its name 7 years prior to commencement of this case.

The record contains a litany of acts Washington Movers took to conceal the fact that Sam Ghanem no longer legally owned, or was an officer of, Respondent after his arrest.⁴ Respondent

⁴ See Opening Brief of BOE, filed May 5, 2017, at pp. 11 – 15; BOE Exhibits 4, 5, 11, 12, 14-17, and 22, at 1 and 9; Nov. 9, 2016 Hearing Tr. at 13, 18, and 30, 34, 35, 36, 37; WM Ex. M, X, Y; ALJ Findings of Fact 56, 57-60, 63-68 with references to record; and BOE Proposed Findings of Fact (adopted by the ALJ) 18, 21-30, 31-33, 34, 35 with references to record.

chose to maintain a facade of business as usual thereby deceiving not only the Commission, but also its business partners, customers, financial institutions, and the Internal Revenue Service. These are hardly actions of good faith.

Washington Movers has been licensed as an OTI since 2003 (Finding of Fact 4; BOE Ex. 8 ¶ 6), and knew or should have known the requirements of and its responsibilities under the Shipping Act and Commissions regulations, including notification of any changes in fact (former 46 C.F.R. § 515.12(d) and current 46 C.F.R. § 515.20(e)), requesting approval of name change (former 46 C.F.R. § 515.18(a)(5) and current 46 C.F.R. § 515.20(a)(4)), and submission for approval of a replacement QI (former 46 C.F.R. § 515.18(c) and current 46 C.F.R. § 515.20(c)). The ALJ correctly stated that these obligations remained with the licensee, Washington Movers, unaffected by any change in ownership. (I.D. at 36.)

Respondent's current owner and President testified that she knew of Washington Movers' responsibilities under the Shipping Act when she took over the company in 2014. (Nov. 9, 2016 Hearing Tr. 30:4-9.)⁵ She also testified that she chose not to follow through on those responsibilities. (Tr. 31:1-7.) In short, there is no evidence of any attempt by Respondent's present management to comply with the Commission's regulations prior to being ordered to show cause why its license should not be revoked.

Nor do Respondent's actions after commencement of this proceeding warrant a different conclusion. After receiving notice that the Commission was aware of the facts surrounding Sam Ghanem's arrest, indictment, and forthcoming trial, and facing loss of its license, Respondent

⁵ Hereinafter cited as "Tr. ____".

finally decided to file an application to change its name and seek approval of a replacement QI. However, it aborted that effort and voluntarily withdrew the application. (I.D. at 37.)

Washington Movers now offers two reasons for abandoning that application. First, Respondent argues that it could not have two outstanding applications for approval of the same QI for different companies.⁶ (Exceptions, p. 6.) That contention is simply wrong. Former and current Commission regulation § 515.11(c) specifically authorize commonly owned OTIs to share a QI. 46 C.F.R. § 515.11(c).

Next, Respondent boldly asserts that BOE and the Bureau of Certification and Licensing coordinated to stop its application. (Exceptions, p. 6.) This accusation is patently false, without basis in the record, and contradicts Respondent's oral testimony. Respondent's President testified that she voluntarily withdrew Washington Movers' application of her own volition in order to make a clean break from Sam Ghanem's convictions. (Tr. 27 – 29.) As to the assertion of good faith, it is noteworthy that Washington Movers admitted to its continued OTI operations without an approved QI. (Tr. 27:12-18.)

C. The ALJ Correctly Considered Respondent's Violations Of Commission Regulations

Respondent does not claim error in any of the ALJ's findings that Washington Movers failed to seek prior approval for its name change (I.D. at 34), or that in failing to do so it violated former 46 C.F.R. § 515.18(a)(5) (current 46 C.F.R. § 515.20(a)(4)) (I.D. at 36), or that it failed to notify the Commission of Sam Ghanem's arrest, indictment, and felony convictions (I.D. at 36).

⁶ Respondent's argument leaves to the reader the task of unearthing the facts underlying this statement. We assume that its reference is to an FMC 18 application filed on behalf of another company also owned by Norma Ghanem, named First Eagle. The ALJ correctly found that such other application was not relevant to the issues in this proceeding. (I.D. at 37.)

Yet it persists in arguing that the failure to notify the Commission of its name change and Sam Ghanem's conviction is minor, that it does not rise to the Commission's standard of "most egregious," and so cannot serve as a basis for revocation of Respondent's OTI license. (Exceptions, pp. 6-7.)

As it has done throughout this proceeding, Washington Movers ignores the entirety of the record by isolating just one of its several transgressions and urging that "no previous licensee has had its license revoked for failing to notify the FMC of its name change." (Exceptions, p. 6.) The suggestion that the ALJ's conclusion is based solely on Washington Movers' failure to notify the Commission of its corporate name change reflects a deliberate distortion of the record and the issues in this proceeding. Respondent is well aware that the ALJ's conclusion that revocation is warranted is based on multiple grounds, viz., "Washington Movers' participation in the criminal activities and violation of Commission regulations requiring the reporting of the change of name and the arrest, indictment, conviction, and sentencing of its QI..." (I.D. at 39.)

Respondent's attempt to minimize the seriousness of its violations emphasizes the present management's failure to comprehend the importance of compliance with the requirements imposed on licensed companies by the Commission.⁷ The proper identity of the licensee and the qualifications and character of its principals are necessary for the protection of the shipping public. *Harry Kaufman d/b/a International Shippers Co. of N.Y. – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. 264, 271 (Examiner, 1972).

⁷ Respondent offers no explanation of the relevance of *United States v. Weimert*, 819 F.3d 351 (7th Cir. 2016). (Exceptions, p.6.) The decision reversed a mail fraud conviction on the ground that the individual's actions did not constitute mail fraud. Other than to paraphrase a statement which does not in any event address the issues here, Respondent does not attempt to address its significance, if any.

Contrary to Respondent's view, there is no hierarchy of importance attached to the OTI regulations or violations thereof whereby some violations are deemed more significant than others. The Commission addressed a similar argument in *Stallion Cargo, Inc. – Possible Violations*, 29 S.R.R. 665 (FMC, 2001), where the ALJ declined to assess civil penalties on violations viewed as merely technical in nature. The Commission disagreed holding that, "Neither the Shipping Act, the Commission's regulations, nor relevant case law provide a basis upon which to make a distinction between technical and non-technical violations." 29 S.R.R. at 676.

A license may be revoked or suspended for violation of *any* Commission order or regulation related to carrying on the business of an ocean transportation intermediary. 46 C.F.R. § 515.16(a)(1). The regulation means what it says. Respondent's violations of multiple regulations and the criminal convictions of Sam Ghanem provided ample basis for the ALJ's conclusion in accordance with the law.

IV. CONCLUSION

For all the foregoing reasons, Washington Movers' exceptions should be denied and the ALJ's initial decision affirmed in its entirety.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that on this **7th** day of **August, 2017**, a copy of the foregoing **Reply Of The Bureau Of Enforcement To Washington Movers, Inc.'s Exceptions To The Initial Decision** has been served upon counsel for Respondent via email and by first class mail with postage prepaid.



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